Fifthly. **Trustee not liable for his co-trustee.** — One trustee shall not be *liable* for the acts or defaults of his *co-trustee.*[1]

[1] *Liability of co-trustees.* — The same rule prevails in America as laid down in the text, that a co-trustee is not liable for the acts of his associates; Peter *v.* Beverly, 10 Pet. 532; Taylor *v.* Benham, 5 How. 233; Vandever's App., 8 Watts & S. 405; Banks *v.* Wilkes, 3 Sandf. Ch. 99; Boyd *v.* Boyd, 3 Gratt. 114; Ray *v.* Doughty, 4 Blackf. 115; Royall *v.* McKenzie, 25 Ala. 363; State *v.* Guilford, 18 Ohio, 509; these same cases hold that if the trustees join in signing receipts, they are each responsible; but if any sign simply because that formality is required of them, and the others take all the money, those who do not receive the money are not liable for its misapplication; Stowe *v.* Bowen, 99 Mass. 194; Monell *v.* Monell, 5 Johns. Ch. 283; Griffin *v.* Macaulay, 7. Gratt. 476; Gray *v.* Reamer, 11 Bush. 113; Irwin's App. 35 Pa. St. 294; Kip *v.* Deniston, 4 Johns. 22; the burden of proving the facts is on the trustee seeking to avoid responsibility; Manahan *v.* Gibbons, 19 Johns. 427; Hall *v.* Carter, 8 Ga. 388; it is not always expected that all the trustees are to engage actively in the management of the trust, and the management may be left to one of them; Jones' App. 8 Watts & S. 143; Ray *v.* Doughty, 4 Blackf. 115; Ochiltree *v.* Wright, 1 Dev. & B. Eq. 336; or they may divide their duties, and each become liable for his acts only. And if it is necessary that money should be handled by one, the others may not be liable for his misdeeds. If the trustees agree to be mutually responsible, they will be bound by their agreement; Towne *v.* Ammidown, 20 Pick. 535; Brazer *v.* Clark, 5 Pick. 96. Every trustee should have some knowledge of the administration of the trust, and must not knowingly allow injudicious management; Clark *v.* Clark, 8 Paige, 153, and if the trust deed excuses them from liability in such cases, they will nevertheless continue to be liable, as in an apparent joint accounting which is incorrect; Clark's App. 6 Harris, 175; Hengst's App. 12 Harris, 413; if a will makes them jointly liable under all circumstances, they can only avoid liability by refusing to accept the trust, or by getting relieved from the trusteeship by one of methods previously mentioned; Wood *v.* Wood, 5 Paige, 596; Contee *v.* Dawson, 2 Bland, 264.

If a trustee knowing him to be unfit allows his co-trustee to attend solely to the active management of the trust, or to receive all the funds, he may be held liable because of his own negligence; Wayman *v.* Jones, 4 Md. Ch. 500; Pim *v.* Downing, 11 Serg. & R. 71; Elmendorf *v.* Lansing, 4 Johns. Ch. 562; the test being, the knowledge of such facts as ought to put a man on his guard; Jones' App. 8 Watts & S. 147. Every trustee ought to know the condition of the trust fund; Bates *v.* Underhill, 3 Redf. 365; and himself see to the application of the trust funds coming into his hands; Edmonds *v.* Crenshaw, 14 Pet. 166; Deaderick *v.* Cantrell, 10 Yerg. 263; Sparhawk *v.* Buell, 9 Vt. 41; Mumford *v.* Murray, 6 Johns. Ch. 1; Hughlett *v.* Hughlett, 5 Humph. 453; a trustee will be responsible if he knowingly allows a misapplication of the trust funds; Hilles's Est. 13 Phila. 402; Bates *v.* Underhill, 3 Redf. 365; Schenck *v.* Schenck, 1 Green, Ch. 174; a trustee knowing of any breach of trust, or misconduct of his co-trustee must either remedy the difficulty himself or apply to the court for relief; Crane *v.* Hearn, 26 N. J. Eq. 378; if he pays over money to his co-trustee he will be liable for it; Glenn *v.* McKim, 3 Gill, 366; Graham *v.* Davidson, 2 Dev. & B. Eq. 155; Graham *v.* Austin, 2 Gratt. 273. Some authorities hold that if all the trustees join in a sale, and one receives the money, all will be responsible, on the ground that a

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